

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR N18
HON. Scott A. Steiner

Date: September 11, 2024

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#	Case Name	Tentative
5.	2023-1311590 CEP America - California vs. Citrus Valley Physicians Group, A Medical Corporation	The Court grants Defendant Citrus Valley Physicians Group's Motion for leave to file its First Amended Answer to CEP America – California dba Vituity's Complaint. The Motion Complies with California Rules of Court, rule 3.1324. A motion to amend a pleading before trial must: (1) include a copy of the proposed amendment or amended pleading; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located. (California Rules of Court ("CRC"), Rule 3.1324(a).) Moreover, a separate declaration must accompany the motion and must specify: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (CRC, Rule 3.1324(b).) Here, these procedural requirements are met. (See ROA 59).

	“The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer.” (Code Civ. Proc. § 473(a)(1).) As with other pleadings, the court may grant leave to amend an answer. (<i>Hong Sang Market, Inc. v. Peng</i> (2018) 20 Cal.App.5th 474, 488). “[I]t is a rare case in which a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case. If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (<i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530 [internal citations and quotation marks omitted].) Plaintiff opposes this Motion. It focuses on challenging when Defendant discovered the meet for more affirmative defenses. But even assuming arguendo that there was an unreasonable delay in seeking leave to amend, Plaintiff has not shown cognizable prejudice. Plaintiff argues that Defendant’s failure to amend its Answer or raise these matters prior to the mediation was prejudicial to Vituity given that any undisclosed affirmative defenses were part of Defendant’s evaluation of the case but not of Vituity’s; thus, the likelihood of success at the mediation was diminished. Plaintiff cites no law to show that a matter not being properly evaluated for settlement is cognizable prejudice. Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence or added costs of preparation, increased burden of discovery, etc. (<i>Magpali v. Farmers Group, Inc.</i> (1996) 48 Cal.App.4th 471, 486-488; see <i>P & D Consultants, Inc. v. City of Carlsbad</i> (2010) 190 Ca.App.4th 1332, 1345.) Here, trial is not until October and Plaintiff has not met its burden in showing any cognizable prejudice. Thus, the Motion is granted. Defendant is ordered to file its proposed First Amended Answer within 10 days.
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		Defendant shall serve notice of this Order.
6.	2024-1383091 Chambers vs. Johnson	Defendant Dehghanmanesh seeks an order allowing Stephen B. Beranek, Esq. and Michael Gardineer, Esq. to appear as counsel <i>pro hac vice</i> for him in this action. Both Counsel have complied with CRC Rule 9.40. Accordingly, Counsels' unopposed application is granted. Defendant Dehghanmanesh shall give notice.
7.	2023-1330417 Burch vs. San Juan Capistrano Unified School District	Demurrer to Third Amended Petition The demurrer by Respondent Capistrano Unified School District, erroneously sued as San Juan Capistrano Unified School District ("District") to the Third Amended Verified Petition for Writ of Mandate ("TAP") filed by petitioners Daniel Burch ("Burch") and Quantum Education Dynamics ("Quantum") (collectively, "Petitioners") is overruled in part and sustained in part with 15 days leave to amend. District's requests for the Court to take judicial notice of the directives issued by CalSTRS in 2018, 2019, and 2022 are granted. (Evid. Code § 452, subd. (b); TAP, ¶¶ 12-13.) District's request for the Court to take judicial notice of the directive issued by CalSTRS in 2023 is denied. This directive is directed at fiscal year 2022-23 and 2023-24, after the time period at issue in the TAP and do not appear relevant to the allegations in the TAP. (<i>Bell v. Greg Agee Construction, Inc.</i> (2004) 125 Cal.App.4th 453, 459, fn. 2.) District's unopposed request for the Court to take judicial notice of District's Board policy number 3300(b) should be granted. (Evid. Code, § 452, subd. (b); <i>Warmington Old Town Associates, L.P. v. Tustin Unified School Dist.</i> (2002) 101 Cal.App.4th 840, 858, fn. 3.) <u>First cause of action for petition for writ of mandate</u> Failure to exhaust administrative remedies "A party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer." (Code Civ. Proc., § 430.41, subd. (b).)

District did not previously raise this ground in District's demurrer to Petitioners' Second Amended Petition. Accordingly, the Court declines to consider this ground and overrules the demurrer.

Misjoinder

District contends CalSTRS is an indispensable party because CalSTRS made the ultimate decision to obtain reimbursement from Burch.

The Court previously noted Districted contended for the first time in District's reply in support of District's demurrer to the Second Amended Petition that CalSTRS was an indispensable party and declined to consider this ground.

The Court notes District did not provide proper notice of its demurrer on the ground of defect of the parties. (Code Civ. Proc., § 430.10, subd. (d).) However, Petitioners did not object to notice of this ground and instead only opposed the demurrer on the ground that District did not raise this ground in a prior demurrer.

A defendant may demur to the complaint on the ground that there is a defect or misjoinder of parties. (Code Civ. Proc., § 430.10(d).) CCP section 389 provides, in pertinent part, as follows:

(a) A person who is subject to service of process and whose joinder will not deprive the court of jurisdiction over the subject matter of the action shall be joined as a party in the action if (1) in his absence complete relief cannot be accorded among those already parties or (2) he claims an interest relating to the subject of the action and is so situated that the disposition of the action in his absence may (i) as a practical matter impair or impede his ability to protect that interest or (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of his claimed interest. If he has not been so joined, the court shall order that he be made a party.

(b) If a person as described in paragraph (1) or (2) of subdivision (a) cannot be made a party, the court shall determine whether in equity and good conscience the action should proceed among the parties before it, or should be dismissed without prejudice, the absent person being thus regarded as indispensable. The factors to be considered by the court include: (1) to what

		extent a judgment rendered in the person's absence might be prejudicial to him or those already parties; (2) the extent to which, by protective provisions in the judgment, by the shaping of relief, or other measures, the prejudice can be lessened or avoided; (3) whether a judgment rendered in the person's absence will be adequate; (4) whether the plaintiff or cross-complainant will have an adequate remedy if the action is dismissed for nonjoinder. (c) A complaint or cross-complaint shall state the names, if known to the pleader, of any persons as described in paragraph (1) or (2) of subdivision (a) who are not joined, and the reasons why they are not joined. “Indispensable parties have been identified as those who are essential for ‘a complete determination of the controversy’ (<i>First Nat. etc. Bk. v. Superior Court</i> (1942) 19 Cal.2d 409, 415, 121 P.2d 729; <i>Lushing v. Riviera Estates Assn.</i> (1961) 196 Cal.App.2d 687, 690, 16 Cal.Rptr. 763) or the ability of a court to enter ‘any effective judgment’ (<i>Writers Guild of America, West, Inc. v. Screen Gems, Inc.</i> (1969) 274 Cal.App.2d 367, 375, 79 Cal.Rptr. 208).” (<i>Kaczorowski v. Mendocino County Board of Supervisors</i> (2001) 88 Cal.App.4th 564, 568.) A “mandatory duty to order other parties brought in is shown only when the trial court finds or the record indisputably discloses that such parties are indispensable to a complete determination of the controversy.” (<i>First Nat. Trust & Sav. Bank of San Diego v. Superior Court of Los Angeles County</i> (1942) 19 Cal.2d 409, 415.) Here, the pleadings and the matters of which the Court takes judicial notice does not indisputably show that CalSTRS is an indispensable party. Although CalSTRS required Burch to reimburse earnings in excess of his retirement amount, the TAP alleges District misreported the payments made and tax reported to Quantum. (TAP, ¶ 19.) The contract attached to the TAP is between District and Quantum and does not expressly designate Burch as the individual who will provide the services. (<i>Id.</i>, Exhibit 1.) Accordingly, the demurrer is overruled. The Court notes its ruling does not contradict <i>Kaczorowski</i>’s denial of a petition for a writ on the ground that the petitioner in <i>Kaczorowski</i> failed to include an indispensable party. The record on demurrer in this case is not as fully developed as in <i>Kaczorowski</i>. The Court’s ruling on the demurrer is not a determination on the merits as to whether CalSTRS may
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	ultimately be determined to be an indispensable party after the record is more fully developed. Sufficiency of allegations As an initial matter, the Court notes Petitioners were not granted leave to amend the first cause of action. Because the parties fully briefed the demurrer on the first cause of action, the Court exercises its discretion to proceed with the demurrer on the first cause of action as amended. “To adequately state a claim for the issuance of a writ of mandate, a petitioner must allege: (1) ‘the public official or entity had a ministerial duty to perform’; and (2) ‘the petitioner had a clear and beneficial right to performance.’ (<i>HNHPC, Inc. v. Department of Cannabis Control</i> (2023) 94 Cal.App.5th 60, 69, citing <i>Physicians Committee for Responsible Medicine v. Los Angeles Unified School Dist.</i> (2019) 43 Cal.App.5th 175, 184.) In addition, “it is essential that it shall appear from the allegations of the petition that there is not a plain, speedy, and adequate remedy in the ordinary course of the law.” (<i>Ross v. O’Brien</i> (1934) 1 Cal.App.2d 496, 501, superseded by statute on other grounds.) Our 4th DCA explained in <i>HNHPC, Inc. v. Department of Cannabis Control</i>: “A ministerial act is an act that a public officer is required to perform in a prescribed manner in obedience to the mandate of legal authority and without regard to his [or her] own judgment or opinion concerning such act’s propriety or impropriety, when a given state of facts exists. Discretion ... is the power conferred on public functionaries to act officially according to the dictates of their own judgment.” (<i>AIDS Healthcare Foundation v. Los Angeles County Dept. of Public Health</i> (2011) 197 Cal.App.4th 693, 700.) “Generally, mandamus may be used only to compel the performance of a duty that is purely ministerial in character. [Citation.] The remedy may not be invoked to control an exercise of discretion, i.e., to compel an official to exercise discretion in a particular way.” (<i>Ridgecrest Charter School v. Sierra Sands Unified School Dist.</i> (2005) 130 Cal.App.4th 986, 1002.) “While a party may not invoke mandamus to force a public entity to exercise discretionary powers in any particular manner, if the entity refuses to act, mandate is available to compel the exercise of those discretionary powers in some way.” (<i>Ellena v.</i>
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		<i>Department of Ins.</i> (2014) 230 Cal.App.4th 198, 205 (<i>Ellena</i>.) Whether a statute imposes a ministerial duty is a question of statutory interpretation. (<i>AIDS Healthcare Foundation</i>, at p. 701.) (<i>HNHPC, Inc. v. Department of Cannabis Control</i>, 94 Cal.App.5th at 70.) “Mandamus may be used to correct an abuse of discretion. (<i>American Board of Cosmetic Surgery v. Medical Board of California</i> (2008) 162 Cal.App.4th 534, 547.) When reviewing an exercise of discretion, ‘the judicial inquiry ... addresses whether the public entity’s action was arbitrary, capricious or entirely without evidentiary support, and whether it failed to conform to procedures required by law.’ (<i>California Public Records Research, Inc. v. County of Stanislaus</i> (2016) 246 Cal.App.4th 1432, 1443.)” (<i>HNHPC, Inc. v. Department of Cannabis Control</i>, 94 Cal.App.5th at 71.) Petitioners alleged sufficient facts to state a cause of action for writ of mandate and that Burch’s activities were not encompassed in the definition of retired member activities. (Ed. Code, § 22164.5, subd. (b); TAP, ¶¶ 10, 12, 13, 17.1, 19, and 20.) Accordingly, the demurrer is overruled. <u>Second cause of action for breach of contract</u> “[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821.) Petitioners alleged the existence of a written contract between Quantum and District and Petitioners’ performance. (TAP, ¶ 22, Exhibit 1.) Petitioners did not allege sufficient facts to show District breached the written contract or that Quantum was a damaged as a result of the alleged breach. Petitioners attempt to allege Burch is a third-party beneficiary of the contract. (<i>Id.</i>, ¶ 22.) Petitioners allege District’s misreporting the payments made to Quantum to Burch’s personal tax identification and CalSTRS member number breached Burch’s beneficial interest in the contract. (<i>Id.</i>, ¶ 25.) The contract attached as Exhibit 1 does not include a term regarding reporting income to CalSTRS. Petitioners have not shown parole evidence applies. Petitioners have not alleged sufficient facts to show Burch is a third-party beneficiary. (<i>See, Jensen v. U-Haul Co. of California</i> (2017) 18 Cal.App.5th 295, 301; <i>Brinton v. Bankers Pension Services, Inc.</i> (1999) 76
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		Cal.App.4th 550, 558.) Accordingly, the demurrer is sustained with 15 days leave to amend.
8.	2023-1332366 Ivey vs. Ivey	
9.	2023-1333775 Karpan vs. S & W Loc, Inc.	The Court grants Shaun Joseph Bauman, Esq.’s Motion to be relieved as counsel for Plaintiff John Karpan. Counsel has used the required forms, all required information is supplied, and service is proper. (California Rules of Court, rule 3.1362.) Mr. Bauman is ordered to submit a new proposed order with all boxes filled out after the hearing for the Court’s signature. Mr. Bauman shall serve the signed Order on Plaintiff and Defense Counsel, and then file a proof of service showing the same. Mr. Bauman will be relieved as counsel upon filing a proof of service of a copy of the signed order on the client. Mr. Bauman shall serve notice of this Order.
10.	2023-1365896 Meyers vs. Tsaturyan	Defendants Aram Tsaturyan’s and Mkrtich Tsaturyan’s motion to strike the punitive damages claims from Plaintiffs’ First Amended Complaint (“FAC”) is granted with 15 days leave to amend. If Plaintiffs decide not to amend their Complaint, they shall notify Defendants and this Court within 15 days, and Defendants shall have 15 days thereafter to file an Answer. A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Code Civ. Proc. § 436. “Irrelevant” matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc. § 431.10(b).)

	Civil Code § 3294 provides that punitive damages may be awarded in an action for breach of an obligation not arising from contract, if the plaintiff proves by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. “Malice” means conduct that is intended to cause injury or despicable conduct that is carried on with a willful and conscious disregard of the right and safety of others. (Civ. Code § 3294(c)(1).) At the pleading stage, the complaint must allege facts supporting circumstances of oppression, fraud, or malice. (<i>Grieves v. Superior Court</i> (1984) 157 Cal.App.3d 159, 166 (“The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. [Citation] Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim. [Citation].”).) Plaintiffs allege that on 2/20/22 on the SR-73 Southbound, Defendant Aram Tsaturyan was driving a vehicle entrusted to him by Defendant Mkrtich Tsaturyan, and caused a car accident with Plaintiffs. Specifically, they claim that Defendant was driving a Rolls Royce in excess of 100 mph and afterwards fled the scene of the collision. In <i>Taylor v. Superior Court</i> (1979) 24 Cal. 3d 890, the California Supreme Court ruled that nonintentional torts may form the basis for punitive damages when the conduct constitutes a conscious disregard of the rights or safety of others. (<i>Id.</i> at 896-96.) The plaintiff must establish, however, that the defendant was aware of the probably dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences. (<i>Id.</i> at 895-96.) In <i>Taylor</i>, the defendant was intoxicated; he hit another car and injured the other driver. (<i>Id.</i> at 893.) The allegations in <i>Taylor</i> included that, prior to the accident in issue, the defendant had other drunk driving incidents, arrests, and accidents. The Court found sufficient allegations to support a claim for punitive damages because the allegations supported knowledge and disregard of probable injury to others. (<i>Id.</i> at 900.) <i>Dawes v. Superior Court</i> (1980) 111 Cal. App. 3d 82, decided before <i>Taylor</i>, addressed the issue of foreseeability, finding that the defendant’s speed and weaving in and out of traffic in an area congested with cars and pedestrians raised the
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	scenario above the foreseeability of injury to others inherent in driving under the influence to a probability of injury. (<i>Id.</i> at 86.) It was this set of circumstances, rather than the defendant’s intoxication, which provided a basis for punitive damages. (<i>Id.</i> at 89.) The Legislature followed these two cases with the additional “despicable” requirement for non-intentional malice claims under §3294. <i>Lackner v. North</i> (2006) 135 Cal.App.4th 1188, 1210 (racing at a high rate of speed did not alone demonstrate malice, particularly where defendant showed some effort to avoid impact.) As amended to include this word, the statute plainly indicates that absent an intent to injure the plaintiff, ‘malice’ requires more than a ‘willful and conscious’ disregard of the plaintiffs’ interests. The additional component of ‘despicable conduct’ must be found.” (<i>College Hospital, supra</i>, 8 Cal.4th at p. 725, 34 Cal.Rptr.2d 898, 882 P.2d 894.) (<i>Butte Fire Cases</i> (2018) 24 Cal.App.5th 1150, 1161.) As there are no cases cited by the parties (or that the Court is aware of) that deal with the issue of whether punitive damages are appropriate in a hit and run case like the instant matter, the foregoing cases are helpful. Based on the allegations in the FAC, it was certainly <i>foreseeable</i> that injury could occur, given that Defendants were going 100 mph. However, there are no other facts pled that would make it <i>probable</i> that injury could occur under these circumstances. (<i>Dawes, supra</i>, 11 Cal.App.3d at 86.) As Defendants point out, Defendant Aram fled the scene <i>after</i> the accident and injuries occurred; there are no claims that Defendants caused Plaintiffs additional damages above and beyond the accident itself. Furthermore, the allegations that Defendants were scared of being robbed because they were being followed by a sedan that told them to “pull over”, do not support willfulness. Based on the foregoing, the Court grants the motion to strike. Defendants shall give notice.
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11.	2023-1366300 CANNELL CAPITAL, LLC vs. BAKER TILLY US, LLP	Defendants Baker Tilly US LLP and Ernest Miranda’s Motion to Compel Arbitration is granted. Defendants Baker Tilly US LLP (“Baker Tilly”) and Ernest Miranda (“Miranda,” together with Baker Tilly, “Defendants”) move for an order compelling arbitration of all claims in the Complaint by Plaintiffs Cannell Capital, LLC, Tristan Partners, L.P., Tonga Partners, L.P., Tristan Offshore Fund, Ltd., Dugong, LLC, Frontier Capital, Ltd., Drake Enterprises, Ltd., Philip Drake, Motus Advisors, Inc., Turner Momentum Investments, LLC and Michael Piper (collectively, “Plaintiffs”). Defendants contend Plaintiffs’ professional negligence, negligent misrepresentation and fraud claims are subject to binding arbitration under an arbitration provision found in three engagement letters between Baker Tilly and non-party, LoanMe, Inc. (“LoanMe”), which Miranda may also enforce as the alleged agent of Baker Tilly. (Mot. at p. 10, fn. 3.) The arbitration provision states, in relevant part, that: If mediation does not settle the dispute or claim, then the parties agree that the dispute or claim shall be settled by binding arbitration. The arbitration proceeding shall take place in the city in which the Baker Tilly office providing the relevant services is located, unless the parties mutually agree to a different location. The proceeding shall be governed by the provisions of the Federal Arbitration Act (FAA) and will proceed in accordance with the then current Arbitration Rules for Professional Accounting and Related Disputes of the AAA, except that no prehearing discovery shall be permitted unless specifically authorized by the arbitrator ... Any issue concerning the extent to which any dispute is subject to arbitration, or concerning the applicability, interpretation, or enforceability of any of these procedures, shall be governed by the FAA and resolved by the arbitrators[.] (Miranda Decl. at ¶¶ 4-6, Exhs. A-C.) Although Plaintiffs are not signatories to the engagement letters, Defendants contend Plaintiffs are “estopped from avoiding arbitration,” because Plaintiffs are “seeking to obtain direct benefits from a contract; and/or (2) by seeking to enforce contract terms or asserting claims that must be determined by reference to that contract.” (Mot. at p. 11.) Under the “direct benefits” doctrine, a nonsignatory “is estopped from avoiding arbitration if it knowingly seeks the benefits of the contract containing the arbitration clause.” (<i>Crowley Maritime Corp. v. Boston Old Colony Ins. Co.</i> (2008))
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158 Cal.App.4th 1061, 1070; accord *Noble Drilling Services, Inc. v. Certex USA, Inc.* (5th Cir. 2010) 620 F.3d 469, 473.) “To satisfy the knowledge requirement, the case law requires that the non-signatory have had actual knowledge of the contract containing the arbitration clause.” (*Noble Drilling Services*, supra, 620 F.3d at 473 [direct benefits theory did not apply where no evidence supports conclusion that nonsignatory had knowledge of the agreements containing the arbitration clause until after the litigation began]; see *Deloitte Noraudit A/S v. Deloitte Haskins & Sells, U.S.* (2d Cir. 1993) 9 F.3d 1060, 1064 [non-signatory accounting firm bound by arbitration provision in settlement agreement where it received a copy of the settlement agreement, did not object thereto and knowingly accepted the benefits of the agreement by the continued use of the disputed trade name].)

Here, the record does not provide sufficient information for the court to determine whether Plaintiffs had “actual knowledge” of the engagement letters. Although Plaintiffs allege they “later learned” of a “Scope of Work,” (which appears to be set forth in the engagement letters), it can be inferred that they “learned” of the scope of work *after* the transaction had been completed. (See Compl. at ¶¶ 16, 19.) It is not enough that Plaintiffs may have known there was some written agreement between Baker Tilly and LoanMe. (*Pershing, L.L.C. v. Bevis* (5th Cir. 2015) 606 Fed.Appx. 754, 758 [“A nonsignatory must have specific knowledge of the relevant agreement—a nonsignatory’s generalized sense that two contracting parties have a course of dealing will not satisfy this requirement”].) Thus, Defendants cannot rely on a “direct benefits” theory to meet their burden of proving the existence of a valid arbitration agreement between the parties. (*Jones v. Jacobson* (2011) 195 Cal.App.4th 1, 15.)

Aside from “direct benefits,” a nonsignatory plaintiff may still be estopped from refusing to arbitrate under equitable estoppel principles, when that plaintiff “brings a claim which relies on contract terms against a defendant.” (*JSM Tuscan, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239.) “The equitable estoppel doctrine extends to claims that are dependent upon or inextricably intertwined with the obligations imposed by the contract containing the arbitration clause.” (*Id.* at 1241 [noting that nonsignatory plaintiffs are bound in the same manner as signatory plaintiffs when pursuing such claims].)

In their response, Plaintiffs insist they “are *not* suing ‘on the contract’ – the Engagement Letter.” (Response at p. 9,

emphasis in original.) Nevertheless, Defendants claim that Plaintiffs must be depending on the engagement letters for their claims because, “[b]ut for those agreements, Baker Tilly would owe no conceivable duty to Plaintiffs,” and “Plaintiffs assert a claim for malpractice, which—by definition—requires privity of contract between Plaintiffs and Baker Tilly.” (Mot. at p. 7.) Defendants do not dictate how Plaintiffs choose to plead their claims. Even if, as Defendants contend, privity of contract is required to maintain Plaintiff’s claims, Plaintiffs may choose to disclaim any reliance on the engagement letters and allow their claims to “rise or fall” when challenged on privity. (See *Noble Drilling Services, Inc. v. Certex USA, Inc.* (5th Cir. 2010) 620 F.3d 469, 474–475 [plaintiff is not required to base its claims on purchase order agreements and by its own admission, its claims will rise or fall on the allegations not founded on the agreements].)

Upon a review of the allegations in the Complaint, it is clear that Plaintiffs *have* relied on the terms of the engagement letters in bringing their claims, despite their protestations to the contrary. Plaintiffs do not dispute that the “scope of work” alleged in the Complaint describes purported obligations Defendant owed under the engagement letters. Although Plaintiffs declined to confirm that the “source” of the “scope of work” was the engagement letters, it certainly appears that “scope of work” refers to the paragraph entitled, “Our Responsibilities and Limitations,” in the engagement letters, which is later referred to as, “the scope of our work,” under “Timing and Fees.”

“By relying on contract terms in a claim against a nonsignatory defendant, *even if not exclusively*, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (*Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 272, emphasis added.) “That the claims are cast in tort rather than contract does not avoid the arbitration clause.” (*Ibid.*)

While Plaintiffs do not expressly refer to the “scope of work” under their professional negligence claim, they do incorporate all the preceding allegations, (Compl. at ¶), including the allegations that:

Plaintiffs later learned that a Scope of Work (relative to Baker Tilly’s review and audit of LoanMe) that was supposed to have been completed by Baker Tilly was not completed and/or was completed improperly *and negligently*. When Baker Tilly provided the audit, review,

		report, and financial statements of LoanMe for inclusion in the Prospectus, as part of the Transaction, it appears, based on the information available, that the referenced Scope of Work had not been completed, or had been ignored or only partially addressed by Baker Tilly... At best, these actions, inactions, malfeasance, and misfeasance on Defendants amounted to <i>professional negligence</i> and negligent misrepresentations. At worst, Defendants were involved in, had knowledge of, and/or aided and abetted in the LoanMe fraud. (Compl. at ¶ 19, emphasis added.) Plaintiffs’ negligent misrepresentation claim, on the other hand, does refer directly to Baker Tilly as having been “<i>engaged via a specific Scope of Work</i>” and “<i>[h]ad Defendants properly and thoroughly completed the Scope of Work</i> and diligently investigated and reviewed LoanMe’s financial condition and operations, it would have, and certainly should have, discovered that LoanMe’s financial portfolio and operations and financial condition were not as was represented in the financial statements and audit opinion provided by Baker Tilly and other information provided.” Defendants made misrepresentations “with no reasonable grounds for believing them to be true, in that Defendants <i>knew, or should have known</i>, that the financial condition, financial statements, and operations of LoanMe were not accurate.” Defendants also “failed to discover and/or disclose certain information about the financial condition, financial statements, and operations of LoanMe that it <i>knew, or should have known...</i>” (Compl. at ¶¶ 36-37, emphasis added.) The same is true for the fraud claim, which essentially consists of the following single paragraph: In the third cause of action, and in the alternative to the claims asserted against Defendants for professional negligence and negligent misrepresentations, and upon information and belief, Plaintiffs allege that <i>Defendants’ failure to properly complete the Scope of Work</i> and failed to investigate, disclose, discover, and report important and material financial and other information relative to LoanMe. The preparation and submission of the unqualified audit opinion and independent audit report, which were false, <i>were either intentional or done with gross and reckless disregard</i> as to the truth and accuracy of the information included therein so as to amount to fraud and/or knowingly and/or recklessly aiding and abetting in the LoanMe fraud. (Compl. at ¶ 43, emphasis added.)
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		Plaintiffs appear to have alleged Defendants’ failure to perform the “scope of work” to support the elements of a misrepresentation made without a reasonable ground for believing it to be true and an intent to deceive. Although Plaintiffs argue they “could have, and would have, asserted their claims against BT even if no Engagement Letter existed,” (Opp’n at p. 10), what Plaintiffs “could have” or “would have” done is immaterial. All that is relevant is what was actually alleged. And, as shown above, Plaintiffs did, in fact, rely on duties or obligations Defendants allegedly owed via the engagement letters in formulating their claims. Thus, the Court finds Defendants have met their burden of establishing the existence of a valid arbitration agreement between the parties on the basis of equitable estoppel. Finally, because of the “clear” and “unmistakable” delegation clause in the arbitration provision, the Court finds it is the province of the arbitrators to determine whether Plaintiffs’ claims are not subject to arbitration based on the defense of unconscionability. ((<i>B.D. v. Blizzard Entertainment, Inc.</i> (2022) 76 Cal.App.5th 931, 957 accord <i>Henry Schein, Inc. v. Archer and White Sales, Inc.</i> (2019) 586 U.S. 63, 68.) This is action stayed pending final resolution of the arbitration. (Code Civ. Proc., § 1281.4.) In light of the ruling, Defendants’ demurrer, (which was made in the alternative), is taken off calendar. The Court sets an ADR review conference for February 4, 2025, at 9:00 am in Department N18. Defendants are ordered to give notice of the ruling.
12.	2024-1377163 Memarzadeh vs. Arnold	<i>Continued from 9/4/24.</i> Defendants Larry Millard Arnold’s, Larry M. Arnold, P.C.’s, and Cummins & White, LLP’s motion to compel arbitration of Plaintiff Maher Memarzadeh’s claims is granted. In this matter, Plaintiff alleges causes of action for (1) breach of written contract, (2) breach of fiduciary duty, (3) breach of the implied covenant of good faith and fair dealing and (4) negligence/legal malpractice in connection with Defendants’ representation of him in an underling malpractice case against his former attorney, Francisco Gutierrez.

	Plaintiff signed an “Engagement Agreement” in the underlying action dated 12/19/22 which contains an arbitration provision, stating in part: A. Other than a dispute over the amount of fees or costs due and owing, <u>any dispute concerning the rights of any of the parties hereto, including, but not limited to, any dispute over alleged malpractice</u>, shall, if any such dispute cannot be resolved between the parties hereto, be decided by arbitration by a retired judge of the Superior Court to be agreed upon by the parties. Client understands that it may well be entitled to a jury trial as to any claim against Lawyers for malpractice or for other claims and that Client waives hereby any such right. (Gilbert Decl., Ex. A. [emphasis added]) The Court finds that the arbitration agreement encompasses Plaintiff’s claims. The allegations in Plaintiff’s Complaint constitute a “dispute concerning the rights of ...the parties,” including a “dispute over alleged malpractice.” In opposition, Plaintiff argues that his appeal of the underlying case (Maher Memarzadeh vs. Francisco Arturo Gutiérrez, et. al.; San Francisco County Superior Court Case Number: CGC-21-596413) requires that this matter be stayed because the rulings could be conflicting, pursuant to Code Civ. Proc., § 1281.2(c). (Opposition, pg. 4.) It appears that the pending appeal is based on an order for termination sanctions resulting from a failure to obey discovery orders. Plaintiff is not claiming that Defendants were his counsel when the underlying case was dismissed. In fact, in reply, Defendants state that they were only Plaintiff’s counsel for less than two months, substituting out in February 2023 well before the case was dismissed in June 3034. Under Code Civ. Proc., § 1281.2(c), Plaintiff must show there is a possibility of conflicting rulings. He does not. A decision as to whether or not the San Francisco Court properly granted the motion for terminating sanctions does not have the potential to conflict with the outcome of this case regarding whether Defendants breached their Engagement
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		Agreement with Plaintiff and were negligent in their representation. Plaintiff does not assert any other arguments, such as that the arbitration agreement is unconscionable or has been waived by Defendants. As a result, he fails to meet his burden to show that the agreement is unenforceable. Accordingly, based on the foregoing, the Court grants Defendants' motion to compel arbitration of Plaintiff's claims. This matter is hereby stayed pursuant to Code Civ. Proc., § 1281.4. The hearing on Plaintiff's motion to stay set for 11/20/24 is vacated. The Court sets a status conference on January 21, 2025 in Dept. N18. Defendants shall give notice.
13.	2023-1354879 Witthoeft vs. Lares	<i>The Court will first address the OSC re: dismissal for FTP. In the event of denial only, the tentative of 9/4/24 (appearing below) is operative.</i> Motion to Compel Further Responses to Form Interrogatories Motion to Compel Further Responses to Requests for Production The unopposed motion by Defendants California Automobile Insurance Company, erroneously sued as Mercury Insurance, and Patty Lares dba Lares Insurance (collectively, "Defendants") for an order compelling Plaintiff Karin Witthoeft ("Plaintiff") to provide further responses to Defendants' Form Interrogatories, Set One, and request for sanctions is granted in part and denied in part. Defendants' motion to compel further responses to Defendants' Request for Production, Set One and request for sanctions is denied. Defendants' motions are timely filed. (Code Civ. Proc., §§ 2030.300, subd. (c) and 2031.310, subd. (c); Harvey Decl., ¶ 5, Exhibit C.) Defendants' motion to compel further responses to form interrogatory numbers 50.1 and 50.3 is denied. Defendants did not show Defendants met and conferred with Plaintiff regarding these two interrogatories. (Code Civ. Proc., §§ 2030.300, subd. (b); Harvey Decl., ¶¶ 6-8, Exhibit D.)

		Plaintiff's response to interrogatory number 7.3 does not appear to be incomplete or evasive. Defendants' unopposed motion is denied as to this interrogatory. Defendants' motion to compel further responses to interrogatory numbers 6.1-6.7, 7.1, 7.2, 9.1-9.2, 11.1, 12.1-12.2, 12.4, 12.6-12.7, and 50.2 is granted. (Code Civ. Proc., § 2030.300, subd. (a); <i>Fairmont Ins. Co. v. Superior Court</i> (2000) 22 Cal.4th 245, 255.) Plaintiff shall serve verified supplemental Code-compliant responses within 20 days. Defendants did not show good cause for request numbers 7, 8, 9, 11, 13, and 14. Although Plaintiff did not provide any response to request number 9, Defendants are not seeking a response based on Plaintiff's failure to respond. Defendants only seek a further response to the above listed requests. Accordingly, Defendants' unopposed motion is denied. (Code Civ. Proc., § 2031.310, subd. (b)(1); <i>Glenfed Develop. Corp. v. Superior Court (National Union Fire Ins. Co. of Pittsburgh, Pa.)</i> (1997) 53 Cal.App.4th 1113, 1117; <i>see, Kirkland v. Superior Court</i> (2002) 95 Cal.App.4th 92, 98.) No sanctions. Defendants shall give notice.
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